

Digital Marketing Essentials

Part 2: Marketing Basics and Planning

Learning Objectives

At the end of this session, you will be able to

- Define digital marketing and outline the steps in the marketing process.
- Explain the key building-block concepts that are essential to any strategy
- Explain the questions that need to be asked when designing a digital marketing strategy.

Part II

DIGITAL MARKETING

What is Digital Marketing?

If marketing creates and satisfies demand, digital marketing drives the creation of demand using the power of Internet, and satisfy the demand in new and innovative ways.

Digital marketing is marketing that makes use of electronic devices (computers) such as personal computers, smartphones, cellphones, tablets TV and game consoles to engage with stakeholders.

Source: http://en.wikipedia.org/wiki/Digital_marketing



Activity 2

- Is digital marketing a totally new way of marketing where traditional marketing concepts cannot be applied to digital marketing?

What is Digital Marketing?

- The complete scope of marketing is practiced on the Internet – products and services are positioned and promoted, purchased, distributed and serviced.

It is not a new marketing channel; instead, it creates a new paradigm for the way in which consumers connect with brands and with each other.

Marketing on the Internet does not mean throwing out the rule book on marketing and business principles. Instead, the Internet provides a new environment in which to build on these.

Activity 3

- The business name (brand name) and the brand, are they the same?

Understanding Marketing Strategy

Understand your Business and Brand Strategy

Business Strategy:

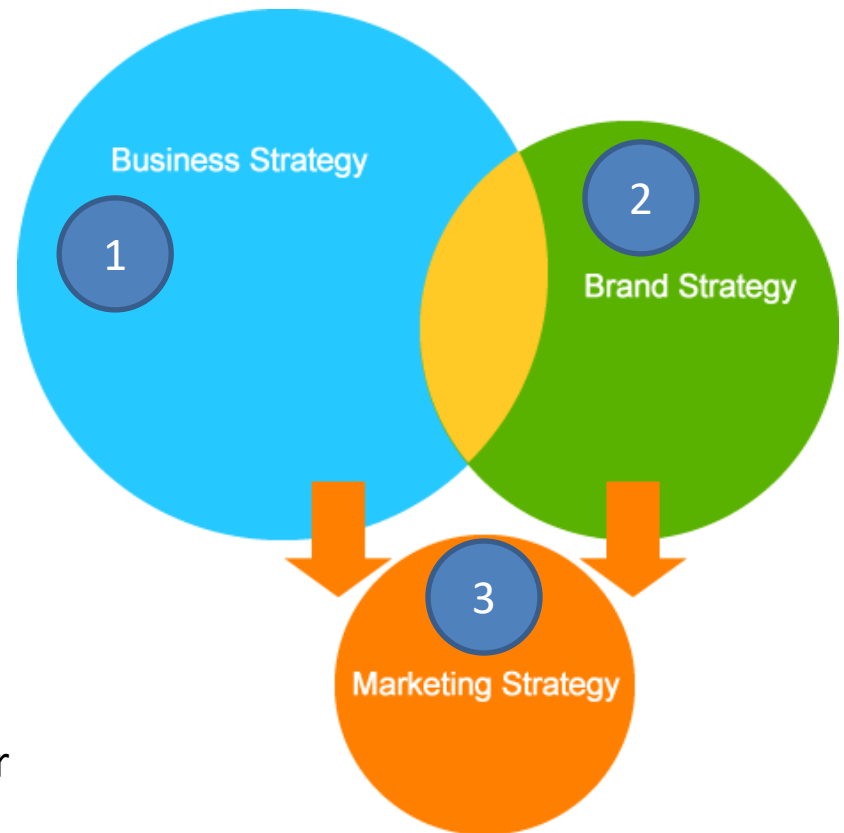
‘What is the business challenge we are facing that prevents us from making more revenue?’ or, ‘What business objective should we strive for in order to increase the money in the bank?’

Brand Strategy:

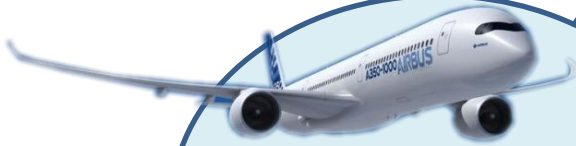
How aware are people of the brand? Does it hold positive associations and perceived value? How loyal are people to the brand?

Marketing Strategy:

Marketing strategy is to address a business or brand challenge or objective that has been revealed.



Marketing Strategy



how it is going to add value to the category and differentiate itself from competitors



whether their product is a domestic or international service



whether its target market would be budget travelers or international and business travelers



whether the channel would be through primary airports or smaller, more cost-effective airports

Environment

Business

Customers

Competitors

Marketing Strategy

Understanding the Environment

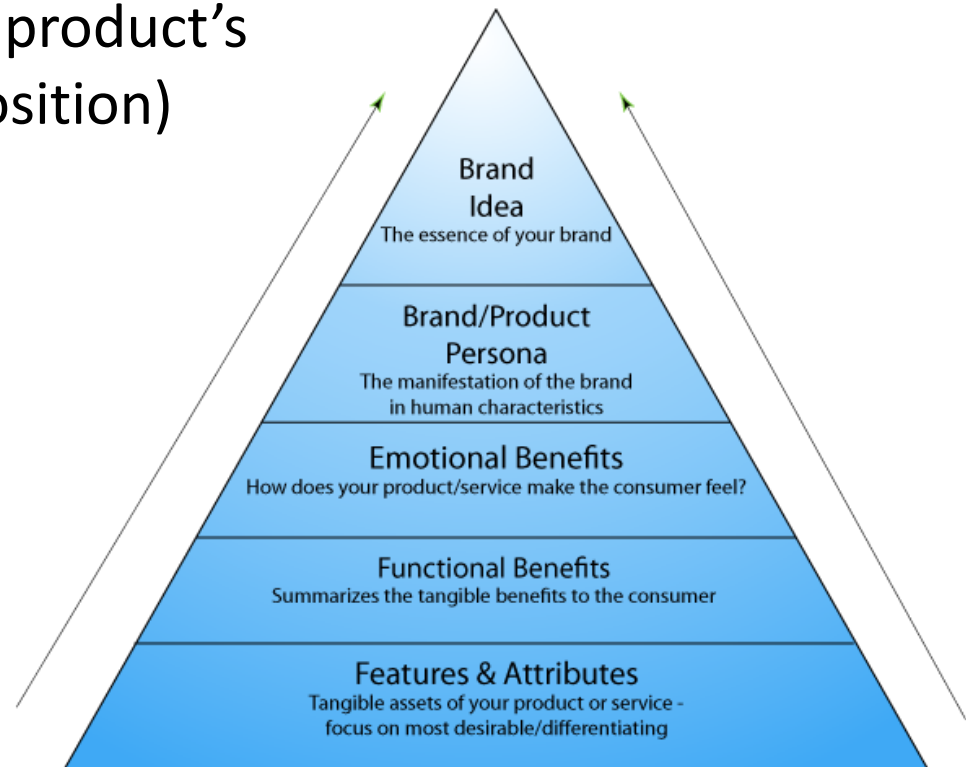
- Overall context in which business functions.
- Analysis of business and brand environment typically consider PESTLE influences to identify a clear set of consideration or issues pertinent to the marketing strategy.
 - Political
 - Economical
 - Social
 - Technological
 - Legal
 - Environmental

Marketing Strategy

Understanding the Business and Brand

- Crucial consideration is the brand itself.
- Determine your brand or product's USP (unique selling proposition)

A USP is the one characteristic that makes your product or service better than the competition's – what unique value does it have? Does it solve a problem that no other product does?

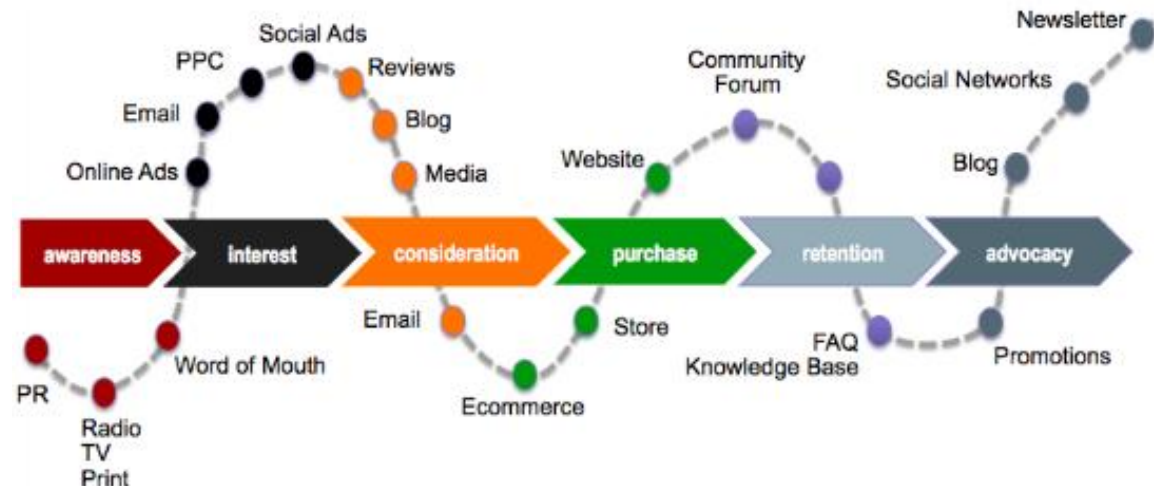


Brand Pyramid Template

Marketing Strategy

Understanding the Customers

- Conduce market research – finding **why people like and attract with your brand.**
- Capitalize on **this** in your marketing content.
- Understand the consumer journey (buying funnel) so that you can prepare the right marketing message at the right stage of their journey.



Marketing Strategy

Understanding the Competitors

- Who else is marketing to your potential customers? What they offer?
- How can you challenge or learn from them?
 - what you can learn from and do better
 - what they're doing worse than you
 - what they're doing the same as you
- When considering competition, it's also worthwhile looking at potential replacements for your product.

Marketing Strategy

- Once you have a clear sense of what the business challenge or objective is, and you have defined how your marketing strategy will work towards fulfilling it, you can start thinking about your **digital marketing strategy**.

Digital Marketing Strategy

- It builds on and adapts the principles of traditional marketing
- Constantly iterating and evolving
- Instantaneous feedback and data gathering allow marketers to optimize and improve their efforts
- Greater opportunities for interaction and customer engagement
- Highly empirical – almost everything can be measured: from behaviors, to actions and action paths, to results

Building Blocks of Marketing Strategy

- Porter's Five Forces
- The Four P's (Marketing Mix)
- SWOT Analysis

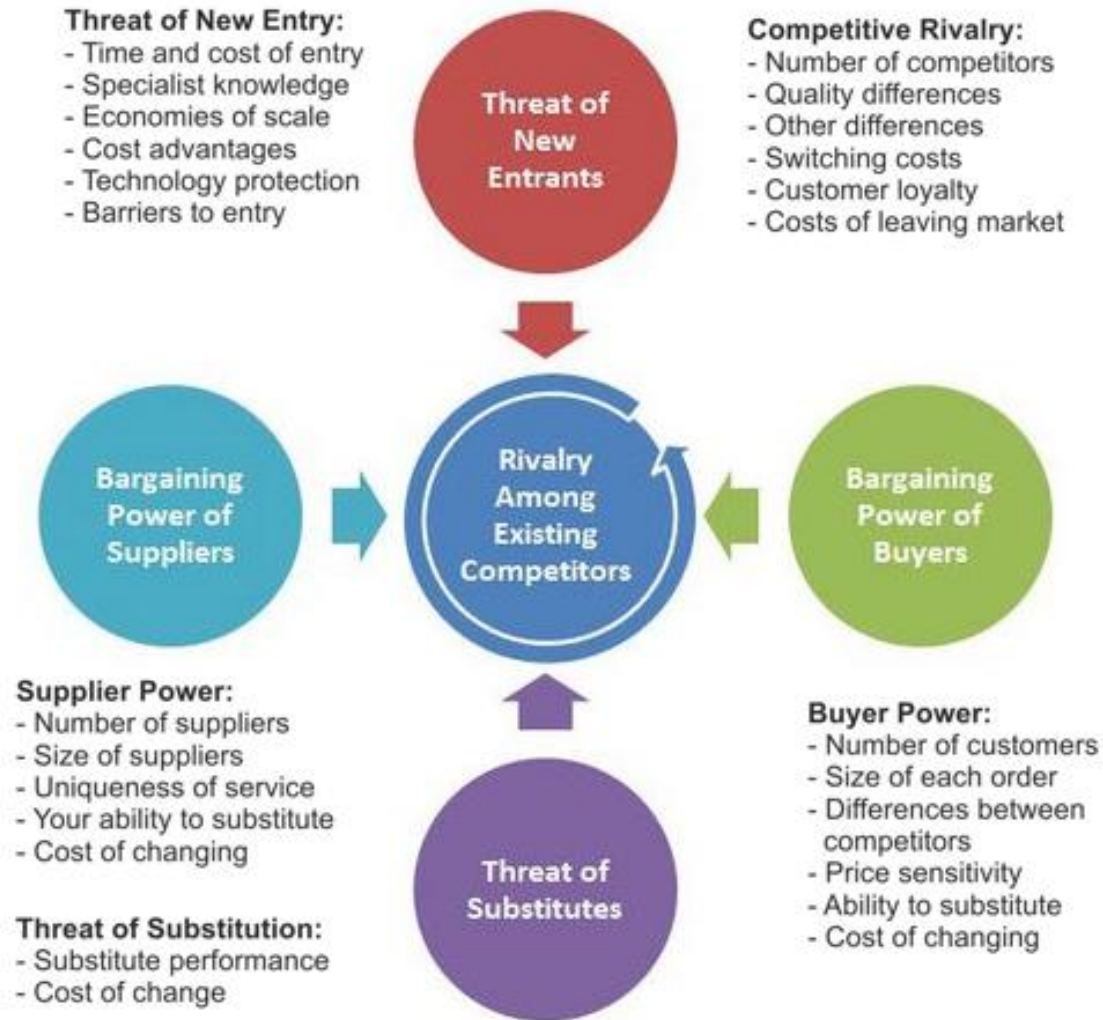
Building Blocks of Marketing Strategy

Porter's Five Forces

- Tool to determine competitive intensity and attractiveness of a market
 - Competitive Rivalry Within The Industry
 - Bargaining Power Of Customers
 - Threat Of New Entrants
 - Bargaining Power Of Suppliers
 - Threat Of Substitute Products

Building Blocks of Marketing Strategy

Porter's Five Forces



Building Blocks of Marketing Strategy

The Four P's (Marketing Mix)

- Product
- Price
- Place
- Promotion

A new P: People

- The powerful human element that the digitally connected world permits: personalization, peer-to-peer sharing, communities, and consumer- centric organizations that allow people to participate in the brand story.

Building Blocks of Marketing Strategy

The Four P's



Building Blocks of Marketing Strategy

SWOT Analysis

- Strengths, Weaknesses, Opportunities and Threats
- It analysis is an ideal way to understand your business and your market.
- It is part of a situational analysis and identifies the key issues that direct the marketing strategy.

Building Blocks of Marketing Strategy

SWOT Analysis



Building Blocks of Marketing Strategy

SWOT Analysis

Enhanced SWOT Analysis

Translate into tasks for the Project Plan	Strengths	Weaknesses
Opportunities	How do I use these strengths to take advantage of these opportunities?	How do I overcome the weaknesses that prevent me taking advantage of these opportunities?
Threats	How do I use my strengths to reduce the likelihood and impact of these threats?	How do I overcome the weaknesses that will make these threats a reality?

Part III

CRAFTING A DIGITAL MARKETING STRATEGY

Steps in Developing Digital Marketing Strategy

- Examine the context
- Examine the value exchange
- Setting objectives
- Choose the tactics and evaluation
- Ongoing optimization

Steps in Developing Digital Marketing Strategy

Step 1 - The Context

- The **first step** in crafting a successful strategy is to examine the **context** of the organisation and the various stakeholders.
 - What is the context in which you are operating (PESTLE factors) and how is this likely to change in the future?
 - Who are you, why does your brand matter and what makes your brand useful and valuable?
 - Who are your customers, and what needs, wants and desires do they have?
 - Who are your competitors? These may extend beyond organizations that compete with you on the basis of price and product and could also be competition in the form of abstracts such as time and mindshare.

Steps in Developing Digital Marketing Strategy

Step 2 - The Value Exchange

- Examine your value proposition or promise
 - what unique value your organisation can add to that market
- Important to identify the supporting value-adds to the brand promise that are unique to the digital landscape
 - What extras (through Internet, beyond the basic product or service, do you offer to customers?
- The Internet offers many channels for value creation. However, the definition of what is 'valuable' depends largely on the target audience, so it is crucial to research your users and gather insights into what they want and need.

Steps in Developing Digital Marketing Strategy

Step 2 - The Value Exchange

- Content marketing is the process of conceptualizing and creating this sort of content – examples of value-based content include a **DIY gardening video for a hardware brand**, a **research paper for a business analyst**, or a **funny infographic for a marketing company**.

Activity 4

Suggest some value-based content for following businesses:

- Travel and tours company
- English language training center
- Food steamer brand
- Business selling pianos and synthesizers
- Herbal medicine practitioner

Steps in Developing Digital Marketing Strategy

Step 3 - Objectives

- Four key aspects to be considered:
 - Objectives
 - Tactics
 - Key Performance Indicators (KPIs)
 - Targets

Steps in Developing Digital Marketing Strategy

Step 3 - Objectives

- Objectives
 - What are you trying to achieve?
 - How will you know if you are successful?
- Objectives need to be **SMART**:
 - **S**pecific – the objective must be clear and detail rather than vague and general.
 - **M**easurable – the objective must be measurable so that you can gauge whether you are attaining desired outcome.
 - **A**ttainable – The objective must be something that is possible for your brand to achieve, based on available resources.
 - **R**ealistic – the objective must also be sensible and based on data and trends; don't exaggerate or overestimate what can be achieved.
 - **T**ime-bound – finally, the objective must be linked to a specific timeframe.

Steps in Developing Digital Marketing Strategy

Step 3 - Objectives

- Tactics
 - Specific **tools or approaches** you will use to meet your objectives
 - for example, a retention-based email newsletter, a Facebook page, or a CRM implementation.
- You may have **multiple tactics** working together to try to achieve the **same objective**.
- Tactics may change (and often should), but the objective should remain your focus.

Steps in Developing Digital Marketing Strategy

Step 3 - Objectives

- Key Performance Indicators (KPIs)
 - KPIs are the specific metrics or pieces of data that you will look at to determine whether your tactics are performing well and meeting your objectives.
 - For example, a gardener may look at the growth rate, color and general appearance of a plant to evaluate whether it is healthy.
 - marketer will look at a range of data points to determine whether a chosen tactic is delivering
- KPIs are determined per tactic, with an eye on the overall objective.

Steps in Developing Digital Marketing Strategy

Step 3 - Objectives

- Targets
 - The specific values that are set for your KPIs to reach within a specific time period.
 - Sportspeople need to reach targets to advance their careers – for example, come in the top ten to qualify for the final, or run 10km in under 27 minutes.
- If you meet or exceed a target, you are succeeding; if you don't reach it, you're falling behind on your objectives and you need to reconsider your approach (or your target).

Steps in Developing Digital Marketing Strategy

Example

- **SMART Objective:**
 - Increase sales through the e-commerce platform by 10% within the next six months.
- **Tactics:**
 - Search advertising
 - Facebook brand page
- **KPIs per Tactics:**
 - Search advertising – number of search referrals
 - Facebook brand page – number of comments and shares on campaign-specific posts
- **Targets per KPI:**
 - Search advertising – 1000 search referrals after first month, with a 10% month-on-month increase after that
 - Facebook brand page – 50 comments and 10 shares on campaign-specific posts per week

Steps in Developing Digital Marketing Strategy

Step 4 – Tactics and Evaluation

Tactic	Outcome
SEO This is the practice of optimizing a website to rank higher on the search engine results pages for relevant search terms. SEO involves creating relevant, fresh and user-friendly content that search engines index and serve when people enter a search term that is relevant to your product or service.	Customer retention and acquisition SEO has a key role to play in acquisition, as it ensures your organization's offering will appear in the search results, allowing you to reach potential customers. A site that is optimized for search engines is also a site that is clear, relevant and well designed. These elements ensure a great user experience, meaning that SEO also plays a role in retention.

Steps in Developing Digital Marketing Strategy

Step 4 – Tactics and Evaluation

Tactic	Outcome
Search advertising	Sales, customer retention and acquisition
In pay-per-click or search advertising, the advertiser pays only when someone clicks on their ad. The ads appear on search engine results pages.	The beauty of search advertising is that it is keyword based. This means an ad will come up in response to the search terms entered by the consumer. It therefore plays a role in sales, acquisition and retention. It allows the advertiser to reach people who are already in the buying cycle or are expressing interest in what they have to offer.

Steps in Developing Digital Marketing Strategy

Step 4 – Tactics and Evaluation

Online advertising	Branding and acquisition
Online advertising covers advertising in all areas of the Internet – ads in emails, ads on social networks and mobile devices, and display ads on normal websites.	The main objective of display advertising is to raise brand awareness online. It can also be more interactive and therefore less disruptive than traditional or static online advertising, as users can choose to engage with the ad or not. Online advertising can be targeted to physical locations, subject areas, past user behaviors, and much more.

Steps in Developing Digital Marketing Strategy

Step 4 – Tactics and Evaluation

Affiliate marketing	Sales and branding
Affiliate marketing is a system of reward whereby referrers are given a ‘finder’s fee’ for every referral they give.	Online affiliate marketing is widely used to promote e-commerce websites, with the referrers being rewarded for every visitor, subscriber or customer provided through their efforts. It is a useful tactic for brand building and acquisition.

Steps in Developing Digital Marketing Strategy

Step 4 – Tactics and Evaluation

Video marketing	Branding, customer retention and value creation
Video marketing involves creating video content. This can either be outright video advertising, or can be valuable, useful, content marketing.	Since it is so interactive and engaging, video marketing is excellent for capturing and retaining customer attention. Done correctly, it provides tangible value – in the form of information, entertainment or inspiration – and boosts a brand's image in the eyes of the public.

Steps in Developing Digital Marketing Strategy

Step 4 – Tactics and Evaluation

Social media	Branding, value creation and participation
Social media, also known as consumer-generated media, is media (in the form of text, visuals and audio) created to be shared. It has changed the face of marketing by allowing collaboration and connection in a way that no other channel has been able to offer.	From a strategic perspective, social media is useful for brand building, raising awareness of the brand story and allowing the consumer to become involved in the story through collaboration. Social media platforms also play a role in building awareness, due to their shareable, viral nature. They can also provide crowd-sourced feedback and allow brands to share valuable content directly with their fans.

Steps in Developing Digital Marketing Strategy

Step 4 – Tactics and Evaluation

Email marketing	Customer retention and value creation
Email marketing is a form of direct marketing that delivers commercial and content-based messages to an audience. It is extremely cost effective, highly targeted, customizable on a mass scale and completely measurable – all of which make it one of the most powerful digital marketing tactics.	Email marketing is a tool for building relationships with potential and existing customers through valuable content and promotional messages. It should maximize the retention and value of these customers, ultimately leading to greater profitability for the organisation as a whole. A targeted, segmented email database means that a brand can direct messages at certain sectors of their customer base in order to achieve the best results.

Activity 5

- You are working for a travel and tours company on digital marketing project. The boss of the company said “I want to increase bookings by our existing customers, so, you do digital marketing plan and present it to me.”
- With above scenario, list down your SMART objective, tactic(s), KPI(s) and target(s) for your plan.

Steps in Developing Digital Marketing Strategy

Step 5 – Ongoing optimization

- Measure and optimize your campaign
- New tactics and platforms emerge every week
- Constant change should be considered in the early stage of your strategy